

Kotak Mahindra Bank Ltd

KOTAKBANK · Financials / Private Banks

ROE

14.01%

ROCE

7.11%

Net Profit Margin

32.39%

D/E

4.00

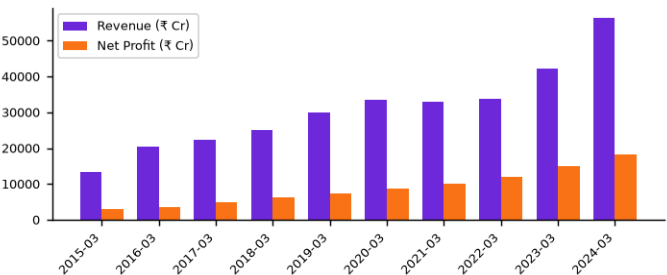
Revenue CAGR 5yr

13.52%

FCF (Rs. Cr)

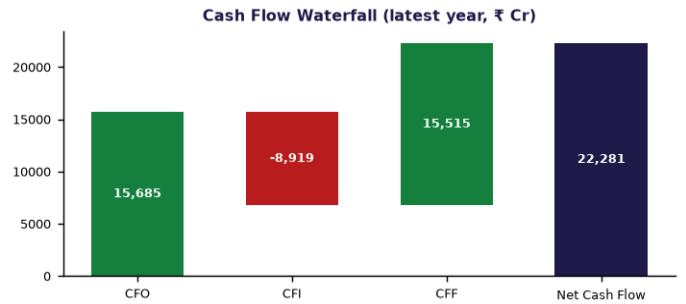
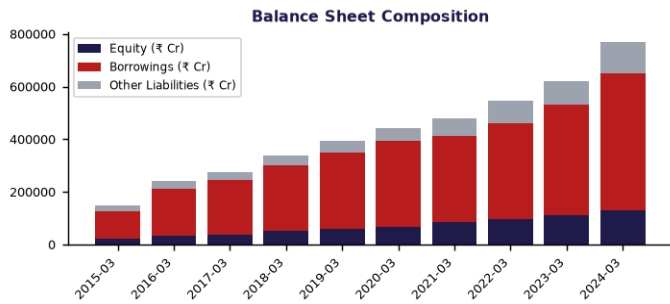
6,766

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (87% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (72% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (66% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (61% confidence)

Cons

- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (74% confidence)
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (67% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (65% confidence)

Capital Allocation Pattern: **Mixed**